NATIONAL LOCAL GOVERNMENT FINANCE COMMITTEE

STRATEGIC PLAN

2022 - 2027

"Delivering effective and responsive financing for local governments"

The National Local Government Finance Committee
P.O Box 31162
Lilongwe 3
MALAWI
Tel: 01 755 666
E-mail: ed@nlgfc.gov.mw/enquiries@nlgfc.gov.mw
Website: www.nlgfc.gov.mw

TABLE OF CONTENTS

FOREWORD BY CHAIRPERSON IV

ACKNOWLEDGEMENTS BY EXECUTIVE DIRECTOR V

SUMMARY MANDATE, VISION, MISSION, CORE VALUES AND STRATEGIES VI

ACRONYMS VIII

CHAPTER ONE: INTRODUCTION 1

1.1 BACKGROUND 1

1.2 LEGAL MANDATE OF NLGFC 1

1.3 THE GLOBAL, CONTINENTAL, REGIONAL AND NATIONAL DEVELOPMENT AND LEGAL FRAMEWORKS 2

1.4 METHODOLOGY 3

1.5 OUTLINE OF THE STRATEGIC PLAN 2022– 2027 4

CHAPTER TWO: SITUATIONAL ANALYSIS 5

2.1 PREVIOUS IMPLEMENTATION EXPERIENCES 5

2.2 CURRENT FISCAL DECENTRALIZATION AND LOCAL GOVERNMENT PFM CHALLENGES 5

2.3 IMPLICATIONS OF RESTRUCTURING ON NLGFC STRATEGIC PLAN 7

2.4 SWOT ANALYSIS 7

CHAPTER THREE: OVERVIEW OF NLGFC STRATEGIC PLAN 10

3.1 INTRODUCTION 10

3.2 MANDATE, VISION AND MISSION 10

3.3 CORE VALUES 10

3.4 STRATEGIC OUTCOMES 11

3.5 SUMMARY OF KEY RESULT AREAS AND STRATEGIES 12

CHAPTER FOUR: DETAILED KEY RESULT AREAS, STRATEGIES, ACTIVITIES, TARGETS 13

KRA 1: LOCAL GOVERNMENT FISCAL RESOURCE MOBILIZATION AND ALLOCATIONS 13

1.1 RATIONALE 13
1.2 STRATEGIC OUTCOME 13
1.3 KEY STRATEGIES 13
1.4 STRATEGIES, ACTIVITIES AND TARGETS 13

KRA 2: LOCAL GOVERNMENT BUDGETING 16

2.1 RATIONALE 16
2.2 STRATEGIC OUTCOME 16
2.3 KEY STRATEGIES 16
2.4 STRATEGIES, ACTIVITIES AND TARGETS 16

KRA 3: LOCAL GOVERNMENT ACCOUNTING AND FINANCIAL MANAGEMENT 19
3.1 RATIONALE 19
3.2 STRATEGIC OUTCOME 19
3.3 KEY STRATEGIES 19
3.4 STRATEGIES, ACTIVITIES AND TARGETS 20
KRA 4: LOCAL GOVERNMENT DEVELOPMENT SUPPORT AND MANAGEMENT 22
4.1 RATIONALE 22
4.2 STRATEGIC OUTCOME 22
4.3 KEY STRATEGIES 22
4.4 STRATEGIES, ACTIVITIES AND TARGETS 22
KRA 5: STRATEGIC LEADERSHIP AND MANAGEMENT 27
5.1 RATIONALE 27
5.2 STRATEGIC OUTCOME 27
5.3 KEY STRATEGIES 27
5.4 STRATEGIES, ACTIVITIES AND TARGETS 27
CHAPTER FIVE: INSTITUTIONAL ARRANGEMENTS, MONITORING AND EVALUATION 30
5.1 NLGFC INSTITUTIONAL DEVELOPMENT 30
5.2 MONITORING AND EVALUATION 37
CHAPTER SIX: BUDGET AND RESOURCE REQUIREMENTS 39
6.1 GOVERNMENT OF MALAWI BUDGET CEILINGS 39
6.2 EXISTING DP SUPPORT 40
6.3 REQUIRED ADDITIONAL BUDGET 41
BIBLIOGRAPHY 48
ANNEXES 48
ANNEX 1: MONITORING AND EVALUATION FRAMEWORK 49
ANNEX 2: CURRENT NLGFC ORGANIZATIONAL STRUCTURE 60

FOREWORD by Chairperson

The National Local Government Finance Committee (NLGFC) was established by the Constitution of Malawi (Section 149 of 1994). Its Mandate is to "**facilitate fiscal decentralization and financial management in local governments".** The NLGFC has as part of the current Strategic Plan established its Vision to **"delivering effective and responsive financing for local governments"**.

The Government of Malawi (GoM) developed a ten-year development plan (2021) as an overarching medium-term strategy that operationalized the shared long-term aspirations of Malawi Vision 2063. The ten-year plan focuses on achieving Sustainable Development Goals (SDGs) and making Malawi a middle-income country by 2030. Local Government Authorities (LGA) are envisaged and mandated through the Local Government Act (1998) and the National Decentralisation Policy (1998) to play a leading role in the implementation of the ten-year development plan and related improvements in service delivery at the local level. However, LGAs currently face a number of challenges to effectively implement these frameworks and deliver quality services to the citizenry. These challenges include partly local issues regarding LGA capacities and partly weaknesses within the enabling framework provided by the national government. The latter includes weaknesses of fiscal decentralization and inadequate central government support to LGAs.

In this regard, NLGFC is determined to support LGAs to address the current challenges by accelerating fiscal decentralization and strengthen performance improvement support to LGAs to ensure delivery of quality services to our citizens through LGAs. The NLGFC Strategic Plan in the next five years **(2022-2027),** therefore, focuses on achieving the following five Strategic Outcomes: **(1) Adequate mobilization and equitable allocation of fiscal resources to LGAs; (2) Responsive and technically sound local government budgeting for service delivery (3) Effective, efficient and accountable use of fiscal resources in LGAs; (4) Improved livelihoods and socio-economic development in local governments; and (5) Improved NLGFC capacity and governance structures.**

I believe that these outcomes will enable NLGFC to realize its mission, vision and mandate. The Strategic Plan has embraced a new direction of NLGFC that comprehensively addresses the key blockages for improved local service delivery. This includes the introduction of a performance-based grant to LGAs that will include fiscal incentives for LGAs towards improved performance in service delivery.

I am convinced that with adequate support from all key stakeholders from local governments, central government, development partners, private sector, civil society organizations and the citizens, the NLGFC has the potential and capabilities to deliver and significantly contribute to efficient and effective LGAs for quality service delivery.

Commissioner Richard Chapweteka

COMMITTEE CHAIRPERSON

ACKNOWLEDGEMENTS by Executive Director

The development of this Strategic Plan (2022 - 2027) has been made possible by a number of individuals and organizations. These included Central Government Ministries, Departments and Agencies, Sectoral Ministries, Development partners, Local Governments, and Civil Society Organizations. These contributed valuable information without which the formulation of this Strategic Plan would have not been possible. In a special way, I would like to thank the guidance provided by the Principal Secretaries and Directors in the Ministry of Local Government, Ministry of Finance and Ministry of Economic Planning and Development and Public Sector Reforms.

In particular, I would like to recognize Mr. Alifeyo Banda my predecessor for initiating and facilitating the start of this work, Charity Kaunda, PhD (Senior Planning Officer) who led this process, the Directors, Team NLGFC for a job well done. It has been an exciting experience to have the full and active participation of the entire members of staff of NLGFC in shaping the new strategic direction for the next five years. The process has been worthwhile considering the merger of National Local Government Finance Committee and Local Development Fund Technical Support Team (LDF-TST) and the new re-think and reforms to position NLGFC into a more strategic and vibrant institution in the drive for fiscal decentralisation in Malawi and as a catalyst for financing and facilitating social economic development in the local governments. This momentum should be sustained during the entire implementation period of the Strategic Plan. I urge you all to continue with this spirit so that together we can achieve the outcomes we have set out to achieve with great efficacy.

The Strategic Planning process was initially facilitated by DEGE Consult and I thank them for the work done.

Lastly, let me take this opportunity to thank the World Bank through Governance to Enable Service Delivery (GESD) project and the Task Team Leader; Michael Roscitt for financial and technical support in the development of this Strategic Plan and I would like to appeal to Ministries, Departments and Agencies (MDAs), development partners and local governments to continue supporting and providing technical assistance during the implementation of this Strategic Plan.

Kondwani Santhe, PhD, FCCA
EXECUTIVE DIRECTOR

Summary Mandate, Vision, Mission, Core Values and Strategies

MANDATE

Facilitate fiscal decentralization, financial management and local development in local governments.

VISION

Delivering effective and responsive financing for local governments.

MISSION

To provide efficient and effective technical, financial and economic management services for mobilization, distribution and utilization of resources for quality service delivery by local governments.

CORE VALUES

1. **Professionalism:** integrity, ethical and impartial.
2. **Corruption and fraud -free**: upholds morals
3. **Transparent and accountable**
4. **Innovation and learning:** staying relevant in a changing environment.
5. **Customer focused:** demand driven, equality and responsive.
6. **Team work:** unity of purpose and synergy.

OUR COMMITMENT
(Summary strategies)

STRATEGIC OUTCOME I: ADEQUATE MOBILIZATION AND EQUITABLE ALLOCATION OF FISCAL RESOURCES TO LOCAL GOVERNMENTS

- Improve inter-governmental fiscal transfer system
- Support improvement of local revenue mobilization

STRATEGIC OUTCOME II: RESPONSIVE AND TECHNICALLY SOUND LOCAL GOVERNMENT BUDGETING FOR SERVICE DELIVERY

- Strengthen budgeting processes in local governments
- Enhance transparency, citizen engagement and accountability in budget formulation and implementation
- Strengthen budget implementation monitoring and reporting

STRATEGIC OUTCOME III: EFFECTIVE, EFFICIENT AND ACCOUNTABLE USE OF FISCAL RESOURCES IN LOCAL GOVERNMENTS

- Enhance adherence to financial regulations
- Enhance transparency and accountability in financial management
- Strengthen accounting and reporting systems

STRATEGIC OUTCOME IV: IMPROVED LIVELIHOODS AND SOCIO-ECONOMIC DEVELOPMENT IN LOCAL GOVERNMENT

- Enhance Infrastructure and Socio-economic Development of local governments
- Strengthen supervision and monitoring of local development projects
- Support performance improvements in Councils
- Enhance sustainability of local development investments
- Support the strengthening of the social protection delivery systems

STRATEGIC OUTCOME V: IMPROVED NLGFC CAPACITY AND GOVERNANCE STRUCTURES

- Strengthen NLGFC regulatory framework
- Enhance NLGFC image and visibility
- Strengthen NLGFC capacity and performance

ACRONYMS

AU	:	African Union
COMESA	:	Common Market for Eastern and Southern Africa
DC	:	District Commissioner
DDP	:	District Development Plan
DHRMD	:	Department of Human Resource Management and Development
FDS	:	Fiscal Decentralization Strategy
GESD	:	Governance to Enable Service Delivery
GDP	:	Gross Domestic Product
GoM	:	Government of Malawi
ICT	:	Information and Communication Technology
IEC	:	Information and Education Communication
IFMIS	:	Integrated Financial Management Information System
IGFT	:	Inter-Governmental Fiscal Transfer
IRDS	:	Integrated Rural Development Strategy
ICT	:	Information Communication Technology
KPA	:	Key Priority Area
KRA	:	Key Result Area
LDF	:	Local Development Fund
LG	:	Local Government
LGA	:	Local Government Authority
MDGS	:	Malawi Growth and Development Strategy
M&E	:	Monitoring and Evaluation
MoFEA	:	Ministry of Finance and Economic Affairs
MoLG	:	Ministry of Local Government
NLGFC	:	National Local Government Finance Committee
ORT	:	Other Recurrent Transactions
PBB	:	Programme Based Budget
PBG	:	Performance Based Grant
PFM	:	Public Finance Management
SDG	:	Sustainable Development Goal
SP	:	Strategic Plan
SO	:	Strategic Outcome
SWOT	:	Strengths, Weaknesses, Opportunities and Threats
UN	:	United Nations

CHAPTER ONE: INTRODUCTION

1.1 Background

The Government of Malawi (GoM), through the on-going Public Sector Reforms, effected the merging of the National Local Government Finance Committee (NLGFC) and the Local Development Fund (LDF) on 1st April, 2018. This exercise was prompted by the need to eliminate the eminent duplication in the roles of the two institutions particularly in relation to the management of recurrent and development funds for facilitation of fiscal decentralization in support of the Local Government Authorities (LGAs)[1]. Before the merger, the NLGFC used to manage only Government ORT and GoM development operations of LGAs separately from the LDF which used to finance Development Partner (DP) financed development projects.

The merger has strengthened NLGFC with additional staff to undertake its Constitutionally defined legal mandate (see 1.2 below). However, the NLGFC also faces significant challenges in implementing its mandate in a manner that optimizes use of existing resources and leading to effective results at LGA levels. The purpose of this strategic plan is to present the priorities of NLGFC and strategies for their implementation.

1.2 Legal mandate of NLGFC

The NLGFC was established under Section 149 of the Republic of Malawi Constitution and further powers and functions conferred on it by the Local Government Act (1998).

Section 149 (1) of the Constitution states that 'There shall be a National Local Government Finance Committee which shall hear submissions from each and every local government authority in respect of estimates of expenditure and requests for special disbursements and shall have such other powers and functions as may be conferred on it by this Constitution or an Act of Parliament'.

Section 149 (2) of the Constitution states that the National Local Government Finance Committee shall have the power to:

a. receive all estimates of revenue and all projected budgets of all local government authorities;
b. supervise and audit accounts of local government authorities, in accordance with any Act of Parliament, Assembly, subject to the recommendations of the Auditor General;
c. make recommendations relating to the distribution of funds allocated to local government authorities, and vary the amount payable from time to time and area to area according to, and with sole consideration of, economic, geographic and demographic variables;
d. prepare a consolidated budget for all local government authorities and estimates after consultation with the Treasury, which shall be presented to the National Assembly by the Minister responsible for Local Government before the commencement of each financial year; and
e. make application to that Minister for supplementary funds where necessary.

Since the merger of the NLGFC and LDF, it has been further clarified that the mandate of NLGFC encompass all GoM funding as well as DP support for LGAs.

[1] NLGFC Quarterly Report (Development) for the Quarter: July-September 2018.

The role and powers of the NLGFC are further briefly described in the LG Act as follows:

> The Committee also assumes other powers and functions as conferred on it by the Local Government Act (1998) as follows:
> To approve the estimates of Councils as submitted or disallow such estimates in whole or in part or refer such estimates back to the Local Government Authority for further consideration;
> Receive final accounts of Local Government Authorities and forward a copy to Auditor General;
> To disallow and surcharge any item of expenditure irregularly drawn by an officer of the Council.

1.3 The Global, Continental, Regional and National Development and legal Frameworks

Malawi is a signatory to a number of international development frameworks including the Agenda 2030 Sustainable Development Goals (SDGs) of the United Nations (UN) for ending poverty in all its forms, inclusively and irreversibly everywhere; the African Union (AU) Agenda 2063 which articulates the long-term set of seven aspirations for the "**Africa We Want**"; the Common Market for Eastern and Southern Africa (COMESA) Treaty for sustaining growth and development by expanding the size of the market in eastern and southern African countries; and the Southern Africa Development Community (SADC) Regional Indicative Strategic Development Plan which intends to enhance regional cooperation in trade, peace and security and deepen regional cooperation and integration (Figure 1).

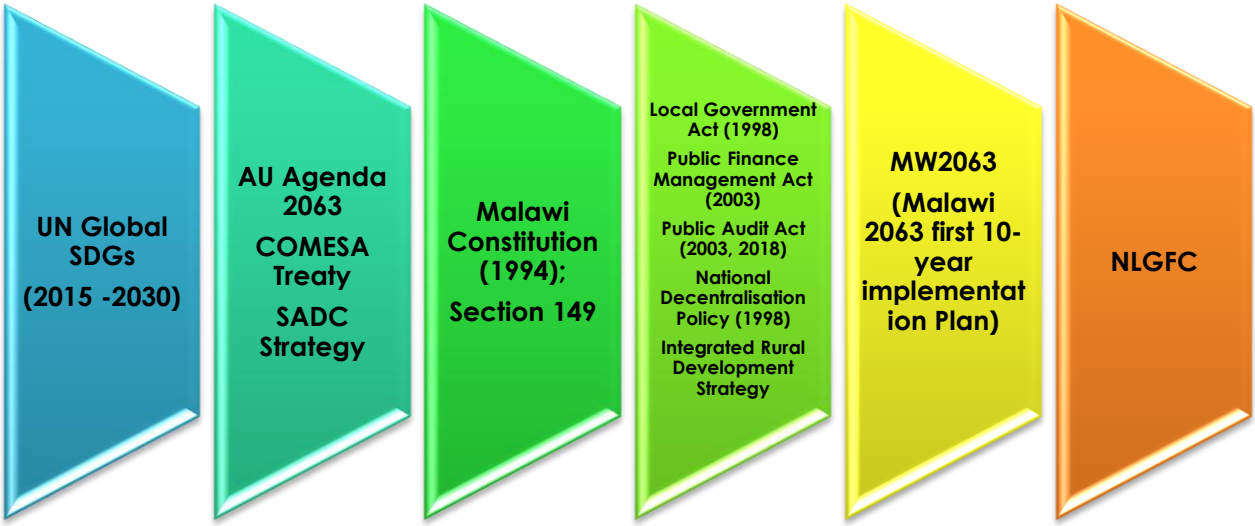


Figure 1: Alignment of NLGFC to national, regional, continental and global frameworks

The NLGFC draws its mandate from the Constitution (Section 149), the Local Government Act (1998) and the Public Finance Management Act (2003). In undertaking its twin mandates of supporting the decentralization of Government and Development Partner fiscal resources, the NLGFC Strategic Plan has been aligned to the Malawi 2063, first 10-year Implementation Plan (MIP-1) 2021-2030, that operationalizes the Malawi 2063 Vision which seeks an inclusively wealthy and self-reliant nation by 2063. The MW2063 first 10-year Implementation Plan focuses on achieving Sustainable Development Goals (SDGs)and making Malawi a middle-income country by 2030. A wide range of the Malawi 2063 priorities can only be achieved through the effective work of LGAs where NLGFC has a key responsibility to ensure that these are provided within an enabling fiscal

and policy framework and with LGAs adequately capacitated for enhanced public sector performance.

Importantly for the NLGFC, that effective and efficient implementation of the MW2063 first 10-year Implementation Plan will be anchored in good governance. Without good governance and public trust, development partners will continue to withdraw direct support to the national budget further constraining the fiscal space to implement the KPAs.

Under governance, the Enabler 2 of the MW2063 10-year Implementation Plan, promotes effective governance systems and institutions. This entails efficient stewardship of public resources, financial management reforms, transparency, accountability and institutional strengthening at all levels, among others. The NLGFC is mandated by the Constitution and the Local Government Act (1998) to support LGAs in fiscal decentralization. Within the public finance management reforms, the GoM will improve Public Finance Management (PFM) systems through, among other things, improving financial management, Information Technology (IT) systems like Integrated Financial Management Information System (IFMIS) and capacity building. Similarly, NLGFC will support the Ministry of Local Government and Rural Development (MoLG) in the operationalization of the National Decentralization Policy (1998) and the Integrated Rural Development Strategy by facilitating capacity development in LGAs for effective service delivery.

The NLGFC will further promote synergies in LGAs that are aligned to the MW2063 first 10-year Implementation Plan in facilitating inclusive District Development Plans (DDPs) in terms of development projects resource mobilization, planning, budgeting, implementation, monitoring and evaluation.

1.4 Methodology

This Strategic Plan has been developed through a consultative and participatory process that was intended to ensure ownership, commitment and leadership by the NLGFC. The guiding conceptual framework for the strategic planning process builds on the Strategic Planning Model by David (2004) which has three parts: Situation Analysis; Strategy Formulation and Strategy Implementation (Figure 2).

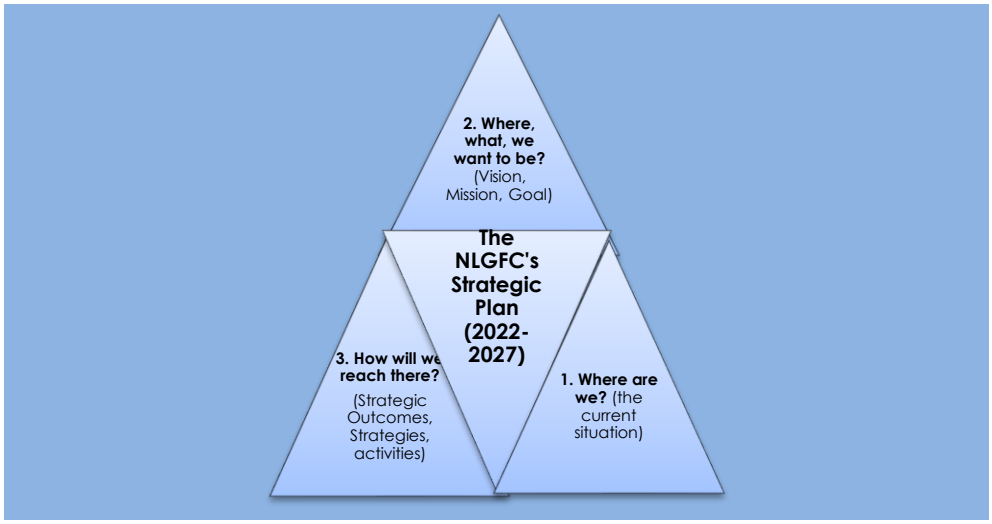


Figure 2: Model Depicting the NLGFC's Transition from the Current to the Future

The process was designed to engage the NLGFC in identifying the critical issues facing the merged institution and the necessary strategies to enable the new NLGFC deliver on its core functions. A comprehensive institutional analysis informed the formulation of the Vision and Mission as well as identification of the Key Result Areas (KRAs) that the NLGFC will focus on in the next five years **(2022-2027)** to help it achieve its new mandate. Furthermore, the process enabled the identification of Strategic outcomes, Key strategies and activities for each of the Strategic outcomes including resource requirements and proper sequencing of main strategies and activities.

The consultative process was also complemented by an extensive review of relevant literature comprising of national and international documents especially learning from similar institutions in other countries. This was complemented by a study tour to Ghana and Uganda by senior staff members from NLGFC, MoLG, MoFEA and Office of the President and Cabinet[2]. The review also included various government frameworks to understand the national priorities that the NLGFC will need to contribute to during the Strategic Plan implementation period.

Diagnostic working sessions were held with both external and internal stakeholders. The internal members of staff of the NLGFC were further engaged in a separate workshop to validate the Mandate, Vision and Mission through stakeholder analysis and SWOT[3] analysis. The internal working sessions also refined the NLGFC's KPAs, Strategic Outcomes, Strategies, Activities and Targets. The main methods used in data collection included key informant interviews, individual and group exercises and plenary. The SWOT analysis helped to establish performance concerns, issues, problems, successes and challenges facing the NLGFC as it envisions its future direction. The Stakeholder analysis was undertaken to identify their interest and influence and their key functions alongside those of NLGFC. A content analysis was used to analyze the information that was gathered through these processes, most of which has been used to formulate this Strategic Plan.

1.5 Outline of the Strategic Plan 2022– 2027

The Strategic Plan is structured follows:

- **Chapter 1: An introductory chapter** which provides a background to the National Local Government Finance Committee, alignment of the NLGFC to the national, regional, continental and global frameworks and methodology used in the development of the Strategic Plan.
- **Chapter 2: A situation analysis and includes** review of the previous NLGFC Strategic Plan (2012-16) with highlights of key achievements and challenges with regards to fiscal decentralization and LGA capacity building for improved PFM.
- **Chapter 3: An overview of the entire strategic plan and includes** the NLGFC mandate, vision and mission, core values and presentation of identified core outcomes and related key results areas that NLGFC will pursue over the next five years.
- **Chapter 4: An elaborate description of each of the Key Result Areas** and related strategies, activities, targets/outputs as well as indicative outline of required inputs for each strategy.
- **Chapter 5: Institutional Arrangements and M&E,** including recommendations for institutional strengthening of NLGFC for effective implementation of the strategy. The chapter also presents the three types of M&E with focus on (i) outputs, (ii) outcomes and (iii) impact.
- **Chapter 6: An overview of available and required fiscal resources** for implementation of the strategy.

[2] For details see NLGFC: Report on Study Tour to Ghana and Uganda 8-16 June 2019.
[3] SWOT = Strengths, Weaknesses, Opportunities and Threats

CHAPTER TWO: SITUATIONAL ANALYSIS

2.1 Previous Implementation Experiences

The Previous NLGFC Strategic Plan (2012-16) included eight KRAs with related outcome targets. Only three of the KRAs focused on the core mandate of the NLGFC with regards to fiscal decentralization and LG financial management (KRA 1, 2 and 3). The remaining 5 KRAs related to internal processes of the NLGFC.

Table 1: Overview of Selected Key Targets for NLGFC 2012-16

KRA 1: Budget Coordination	**KRA 2: Financial management services**
a. 35 Councils implementing participatory budgeting by 2016 b. Councils collect 80% of their annual local revenue forecast by 2016 c. Resource allocation from the center to all councils based on an approved formula by 2014 d. All councils implementing MGDS budget outputs annually, **e.** All devolved functions adequately financed by central government by 2016	a. 35 councils producing final accounts by 31st August each year, b. NLGFC facilitating external audit of all councils by 30th September each year, c. All councils achieving 90% on annual financial assessment tool by 2016, d. All councils are using standardized automatized IFMIS by 2016, e. All councils attaining unqualified reports by 2016, f. LA financial management and Internal Audit procedures reviewed by 2016, g. LA code of ethics developed by 2016.
KRA 3: Monitoring and evaluation: Financial regulation (compliance) improved by 2016,	

The 2012-16 Strategic Plan was implemented within a challenging context where the decentralization process to a large extent had stalled.

However, the NLGFC successfully implemented several planned activities consequently achieving its mandate with regards to annual LG budget consolidations. However, progress on other aspects of fiscal decentralization was derailed particularly regarding adequacy of funding to LGAs, effective use of formula-based grant allocations and the quality of LG financial management (discussed further below).

From 2017-19 there was no systematic reporting on key results as NLGFC was in the process of restructuring.

Building on these, it is widely recognized that the NLGFC needs clarification of its strategic direction for reform and change management in support of fiscal decentralization in Malawi.

2.2 Current Fiscal Decentralization and Local Government PFM Challenges

Progress has been made in various areas since the commencement of the decentralization process with regards to fiscal decentralization including:

- Establishment of grants for the vast majority of devolved functions (ORT);
- Establishment of GoM development grant modalities;
- Development of systems for improved LG PFM, including a LG specific IFMIS;

- NLGFC coordination and compilation of all LG budgets to Parliament;
- Introduction of DP harmonization of local development funding (through LDF etc.); and
- Enhanced staffing of key PFM experts including internal auditors and procurement specialists.

However, very significant challenges have also been observed – and documented by NLGFC itself in recent dialogue with Local Governments[4] as follows:

- LGAs consider the devolved functions hugely underfunded as fiscal transfers and local generated revenues are **highly inadequate**. This observation was also supported by the recent Public Expenditure Review (2019) that documented how the real value of most fiscal transfer have declined over the years,
- The distribution of funds among LGAs is highly **inequitable** and **un-transparent** – attempts of introducing and effectively applying formula-based allocations have in most cases failed. Furthermore, the formulas being used which were developed in the early 2000s are regarded as highly outdated.
- **Unpredictability of Fiscal transfers** – in particular the development budget (DDF and IDF allocations) have experienced dramatic budget cuts (around 50%) in recent years. Additionally, funds for Public Works Programme have been disbursed very late.
- **Fragmented funding for local development**
    - Many different project funding modalities– from Government and Development Partners - including several separate funding windows by the NLGFC / LDF itself,
    - CDF not integrated into LG planning and budget process – it is managed without proper involvement of the council and not adhering to normal LG planning, budget and implementation procedures.
- **Poor financial management in Local Governments and inadequate Central Government (including NLGFC) support and operations**
    - Late and incomplete final accounts (only about 50% of LGAs submitted account in time for audits),
    - Failure to adhere to accrual accounting requirements -in part because of incomplete transfer of assets to local governments and lack of expertise for valuation;
    - Inability to locally processing of payroll / salary payments (lack of equipment and skills);
    - LG failure to remit PAYE to MRA;
    - Poor adherence to various financial guidelines and instructions – financial reports and final reports in particular;
    - Inconsistent use of IFMIS;
    - Management inefficiencies of local generated revenues - "high pilferage rate",
    - Lack of support to LGAs for IFMIS implementation;
    - Lack of appropriate guidance and PFM support e.g. for completion of final accounts;
    - Lack of support for accrual accounting: effective transfer of assets and valuations,

[4] NLGFC March 2019: District Commissioners - NLGFC Dialogue

- **The NLGFC itself is constrained by:**
    - Absence of Act that would clarify its relationship to other MDAs and disciplinary powers *vis-a-vis* malpracticing LG officials;
    - Funding constrains its ability to undertake field monitoring and on-site LG PFM support;
    - Lack of internal coordination of reporting requirements from LGAs (duplication of NLGFC and LDF).
- **The NLGFC therefore displays some weaknesses like**
    - Inadequate feedback mechanism for responding to LGAs monthly reports;
    - Inadequate technical support to LGAs on various functional areas;
    - Inadequate technical support from NLGFC to LGAs for development of local revenue enhancement strategies.

2.3 Implications of restructuring on NLGFC Strategic Plan

The Government of Malawi effected the merging of the National Local Government Finance Committee (NLGFC) and the Local Development Fund (LDF) on 1st April 2018.

The merger of the two institutions brings together:

- Many different kinds of technical skills and expertise,
- Different institutional mandates – although both broadly related to facilitation of fiscal decentralization,
- Different staff profiles with diverse experiences, some variations in working conditions and schemes of service, professional backgrounds as well as working culture,
- To a certain extent different accountability structures – with the old NLGFC firmly established within the mainstream government structures while the LDF to a larger extent was oriented towards management of development partners expectations and demand.

Hence, the merger, in itself, presents many different challenges. However, at the same time it also presents many opportunities to effectively drive the Government agenda of fiscal decentralization and effective service delivery in LGAs: by merging the management of GoM/ORT funds and development funds and by strengthening technical support and oversight to LGAs,

2.4 SWOT Analysis

The Strengths, Weaknesses, Opportunities and Threats (SWOT) Analysis was applied during the internal NLGFC Strategic Planning workshop. This was used to crystalize key features of the situational analysis, Strengths and Weaknesses pertaining to internal issues that the NLGFC has control over while opportunities and threats pertain to external issues that the NLGFC can either exploit or need to manage to ensure effective implementation of the Strategic Plan. The results of the SWOT analysis are summarized below:

2.4.1 Strengths

The NLGFC has:

- A strong albeit broad Constitutional mandate to facilitate fiscal decentralization,
- High calibre personnel with technical expertise in budget analysis, financial analysis, project support, M&E, IT, human resource, administration and other corporate support services that deliver results timely;
- Vast experience in coordination and collaboration with external partners and sectors using multi-sectoral approaches in activity implementation which brings confidence and trust;
- Good resource management policies and systems that adhere to Public Finance Management Act, Public Audit Act, Public Procurement and Disposal of Assets Act and donor guidelines which ensure transparency and accountability; and
- Equipment such as motor vehicles, computers, ICT, etc. that support the operations of the institution.

2.4.2 Weaknesses

The NLGFC lacks:

- A Strategic Plan to guide its focus given the new mandate, vision and mission that combines the functions of the old NLGFC and LDF;
- An Act of Parliament to provide specific legal framework for its governance, management, functions and financing;
- Functional management policies and systems for executive and staff meetings, career progression, capacity development and mainstreaming of crosscutting issues such as gender, HIV and AIDS and climate change; and
- Own office space to provide adequate offices and conducive working environment to staff.
- Several outdated or fragmented guidelines for LG management of funds and resources,

2.4.3 Opportunities

Within the timeframe of this Strategic Plan, the NLGFC has the chance to exploit the following opportunities:

- Supporting fiscal decentralisation in LGAs by facilitating budget analysis, financial analysis, financial regulation and accounting procedures compliance;
- Supporting the global agenda on Aid Effectiveness by coordinating the development and implementation of Fiscal Decentralisation Strategy (FDS) and its IGFT system for recurrent and development funding from both government and development partners;
- Facilitating the implementation of the Decentralisation Policy and the IRDS by supporting development projects, resource mobilisation and sector-wide approaches in LGAs;
- Coordinating capacity gap analysis, technical backstopping, revenue enhancement, quality service delivery and financial accountability in LGAs.

2.4.4 Threats

During the implementation of this Strategic Plan, the NLGFC has to keep an eye and continuously adjust to the following threats:

- Corruption which leads to abuse and misallocation of resources thereby not trickling down to the intended beneficiaries in LGAs and hence retarding social economic development;
- Rapid population growth and rising levels of poverty, youth unemployment and environmental degradation which may necessitate an increase in resource requirements for social services and infrastructure development in LGAs far beyond what the NLGFC can feasibly mobilise;
- Low compliance and unreliable connectivity to IFMIS which leads to leakage of financial resources as there is no law to enforce compliance by LGAs to IFMIS.

- Piecemeal implementation of the Decentralisation Policy and the Local Government Act and the absence of FDS induce reluctance in some sectors to only devolve the functions and not the associated resources and assets.

CHAPTER THREE: OVERVIEW OF NLGFC STRATEGIC PLAN

3.1 Introduction

Based on the situational analysis, the NLGFC has developed its new Strategic Plan for the coming five years. The plan includes update of its mandate, vison, mission and core values summarized below. The situational analysis also guided the identification of the five key strategic outcomes (section 3.6 below) and the corresponding Key Result Areas (KRAs) summarized in section 3.5 and elaborated upon in the subsequent chapter with outline of strategies, activities and targets for each KRA.

3.2 Mandate, Vision and Mission

Mandate
To facilitate fiscal decentralization, financial management and local development in Local Governments.

Vision

Delivering effective and responsive financing for Local Governments.

Mission

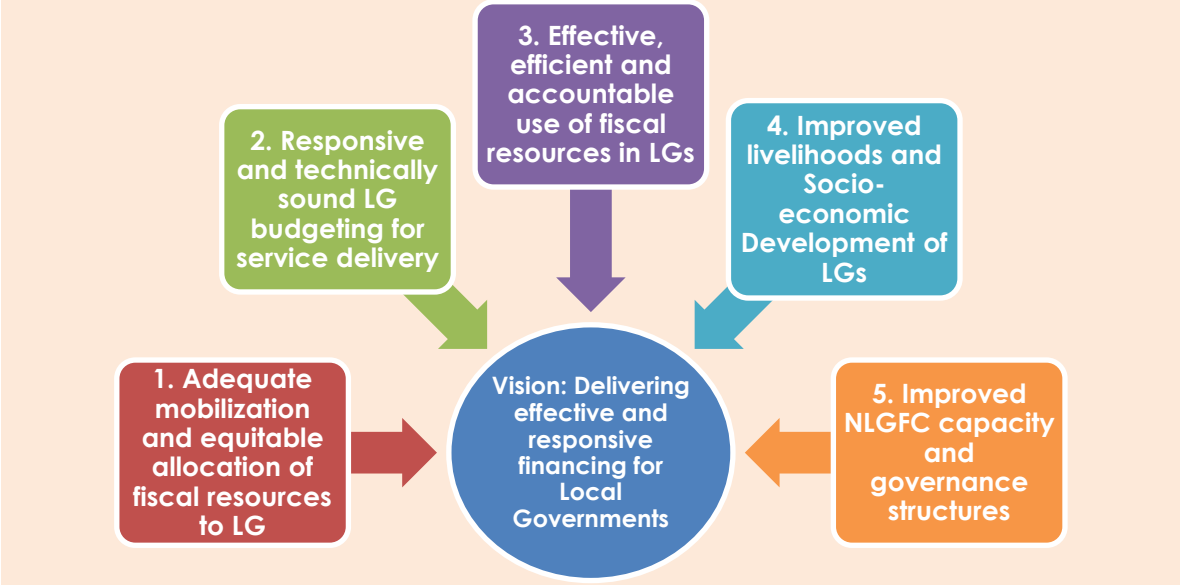
To provide efficient and effective technical, financial and economic management services for mobilization, distribution and utilization of resources for quality service delivery by Local Governments.

3.3 Core Values

1. **Professionalism:** integrity, ethical and impartial.
2. **Corruption and fraud -free**: upholds morals
3. **Transparent and accountable**
4. **Innovation and learning:** staying relevant in a changing environment.
5. **Customer focused:** demand driven, equality and responsive.
6. **Team work:** unity of purpose and synergy.

3.4 Strategic Outcomes

Figure 3: Linkage of Strategic Outcomes to the Vision of NLGFC



The above-mentioned strategic outcomes and related Key Result Areas are derived from the legal mandate of the NLGFC as described in the Constitution of Malawi with the additional need for continued effective local development project support and effective internal management of the NLGFC. The Key Result Areas described in further details in next chapter are:

1. Local Government Fiscal Resource Mobilization and Allocations
2. Local Government Budgeting
3. Local Government Accounting and Financial Management
4. Local Government Development Support and Management
5. Strategic Leadership and Management

The following description of the related key strategies within each of these five KRAs is guided by an analysis of identified blockages for improved LGA service delivery within each of the KRAs.

The NLGFC Strategic Plan seeks to address all major blockages to improved local service delivery within its constitutional mandate while also acknowledging the need for cross ministerial/agency collaboration. Thus, the Strategic Plan includes reference to required strategic actions of other MDAs such as MLGRD, MoEPD&PSR, MoF, LASCOM, NAO, CIAU, AGD and relevant sector

ministries. It is also envisaged that NLGFC through this Strategic Plan will strengthen inter-ministerial cooperation and Government interaction with the civil society and Development Partners tthrough the development of a comprehensive intergovernmental Fiscal Decentralization Strategy.

3.5 Summary of Key Result Areas and Strategies

Key Result Area	Key Strategies
1. Local Government Fiscal Resource Mobilization and Allocations	1.1. Improve inter-governmental fiscal transfer system. 1.2. Support improvement of local revenue mobilization.
2. Local Government Budgeting	2.1. Strengthen budgeting processes in local governments. 2.2. Enhance transparency, citizen engagement and accountability in budget formulation and implementation. 2.3. Strengthen budget implementation monitoring and reporting.
3. Local Government Accounting and Financial Management	3.1. Enhance adherence to financial regulations. 3.2. Enhance transparency and accountability in financial management. 3.3. Strengthen accounting and reporting systems.
4. Local Government Development Support and Management	4.1. Enhance Infrastructure and Socio-economic Development. 4.2. Strengthen supervision and monitoring of local development projects. 4.3. Support performance improvement in councils. 4.4. Enhance sustainability of local development investments. 4.5. Support the strengthening of the social protection delivery systems
5. Strategic Leadership and Management	5.1. Strengthen NLGFC regulatory framework. 5.2. Enhance NLGFC image and visibility. 5.3. Strengthen NLGFC capacity and performance.

CHAPTER FOUR: DETAILED KEY RESULT AREAS, STRATEGIES, ACTIVITIES, TARGETS

KRA 1: LOCAL GOVERNMENT FISCAL RESOURCE MOBILIZATION AND ALLOCATIONS

1.1 Rationale

Local governments need adequate fiscal resources in order to provide the services expected for the devolved sectors. Fiscal resources include local governments own revenues (local tax and non-tax revenues), although grants (intergovernmental Fiscal Transfers – IGFT) for a foreseeable future are envisaged to constitute the majority of LG budgets. For allocative efficiency, it is important to ensure that funds are distributed among LGAs in an objective and transparent manner according to relative needs. Such Improvements will require a concerted effort across several ministries, departments and agencies. While NLGFC has a constitutional mandate for spearheading efforts for fiscal decentralization including the use of objective formulas in fiscal resource allocations to LGAs, then the responsibility for clarification of LGA service delivery responsibilities and corresponding financing arrangements (including adequacy, equity and timeliness of fiscal transfers) is a shared responsibility among MoF, MoEPD&PSR, MoLG and respective sector ministries. For this reason, it is deemed important to develop an inter-ministerial Fiscal Decentralization Strategy (FDS) that clarifies the responsibilities of all concerned MDAs and establishes clear and affordable reform priorities. The development of the FDS will guide all subsequent reform activities within this Key Result Area (KRA 1). Details on sequencing and costing of this KRA is, therefore, tentative and subject to review after completion of the FDS. It is tentatively proposed that the FDS will include two phases of reform: (i) short term improvements of existing fiscal IGFTS and (ii) long term more substantive overhaul of the FDS – which may require wider policy dialogue.

1.2 Strategic Outcome

Adequate mobilization and equitable allocation of fiscal resources to Local Governments.

1.3 Key Strategies

1.3.1 Improve inter-governmental fiscal transfer system
1.3.2 Support improvement of local revenue mobilization

1.3 Strategies, activities and targets

Key Strategy 1.3.1: Improve inter-governmental fiscal transfer system		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Develop a Fiscal Decentralization Strategy (FDS)	Approved FDS document by 2023	Consultants and stakeholder meetings (430,000 USD)

Key Strategy 1.3.1: Improve inter-governmental fiscal transfer system		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Develop modalities for coordination, review and reporting of FDS	Modalities for coordination, review and reporting of FDS developed (Year 1)	Consultancy, printing, meetings. (50,000 USD)
Review the Inter-governmental Fiscal Transfer Formulae (IGFTF)	Approved revised IGFTF (Year 2)	Consultants and stakeholder meetings (250,000 USD)
Digitize the Inter-Governmental Fiscal Transfer Formulae	An on-line system developed and used to allocate grants to LGAs (Year 3)	TA working with IT and budget team to develop and use the system. (50,000 USD)
Harmonize donor funding for local service delivery with IGFTS	Discussion Paper on how to harmonize off budget donor support to LAs developed (Year 3)	Consultancy and workshops (70,000 USD)
Facilitate engagement with local governments to promote Capital investments	Capital investments initiated	Stakeholder consultations, workshops (50,000 USD)

Key Strategy 1.3.2: Support improvement of local revenue mobilization		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Develop Policy Discussion Paper on how to improve Revenue Assignments to Local Governments	Discussion Paper on Revenue Assignment to Local Governments developed (Year 2)	Consultancy (175,000 USD)

Review Local Revenue Enhancement Guidelines	Manual for LG Revenue Enhancement Strategies (Year 2)	Stakeholder consultations, workshops (50,000 USD)

KRA 2: LOCAL GOVERNMENT BUDGETING

2.1 Rationale

In order to translate Local Authorities fiscal resources into effective service delivery, it is critical to ensure that the budgeting is responsive and technically sound. While KRA 1 mainly focuses on the establishment of improved policies and strategies, KRA 2 focuses on effective preparation and execution of the budgets including participatory local budgeting, effective fund transfers and related monitoring.

2.2 Strategic outcome

Responsive and technically sound local government budgeting for service delivery.

2.3 Key Strategies

2.3.1 Strengthen budgeting processes in Local governments.
2.3.2 Enhance transparency, citizen engagement and accountability in budget formulation and implementation.
2.3.3 Strengthen budget implementation monitoring and reporting.

2.4 Strategies, activities and targets

Key Strategy 2.3.1: Strengthen budgeting processes in Local governments		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Review budgeting Manual for councils	Reviewed budgeting Manual by Year 2	Stakeholder consultations, workshops (70,000 USD)
Disseminate budgeting Manual to councils	Budgeting manual disseminated to 35 councils by Year 2	Staff time. (40,000 USD) annually
Provide support to local governments on budgeting	35 councils supported on budgeting processes	Stakeholder workshops, Printing of budget documents and guidelines. (125,000 USD) annually

Key Strategy 2.3.2 Enhance transparency, citizen engagement and accountability in budget formulation and implementation.		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Compile Council budgets and funding data for uploading to website	Reliable and timely data on fiscal transfers available on website. (Year 2)	ICT consultancy including consultations, Staff time (50,000 USD)
Publish the grants released to local governments on print and electronic media	Quarterly & Annual Funding Publications	Staff time, printing and adverts (20,000 USD) annually
Support demystification of council budgets for communities	Template for Citizens Budget developed (Year 2)	Stakeholder consultations and workshops (40,000 USD)
Review Participatory budgeting guidelines	Participatory budgeting guidelines available	Stakeholder consultations, workshops (70,000 USD)
Support development and implementation of Procurement plans	LA Annual budgets reviewed with corresponding Procurement Plans	(100,000 USD)

Key Strategy 2.3.3: Strengthen budget implementation monitoring and reporting		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Develop and disseminate formats for compilation of LA budget implementation progress reports	Reporting Template developed and disseminated (Year 1)	Stakeholder consultations and workshops (50,000 USD)

Key Strategy 2.3.3: Strengthen budget implementation monitoring and reporting		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
	ICT based system for report compilation developed (Year 2)	Consultancy support (50,000 USD)
Support councils in preparation of budget implementation progress reports	Councils effectively using reporting formats, reports reviewed and consolidated	Workshops and hands-on support (80,000 USD)

KRA 3: LOCAL GOVERNMENT ACCOUNTING AND FINANCIAL MANAGEMENT

3.1 Rationale

Accountable and prudent management of financial resources is critical for improved delivery of services at the local government level. The NLGFC will through national and local level actions support local authorities to ensure that they meet the objectives of transparency and accountability for improved resource management and accountability through supervisory role on prudent accounting and financial management.

NLGFC ensures that councils apply consistent reporting standards in the execution of approved budget. The NLGFC's key role is to ensure that all procedures provided by the statutory framework and reporting standards are applied consistently to properly capture and record accounting information in the approved accounting systems of Government to enhance decision making by all stakeholders involved. It is a requirement that all the public institutions comply with the laws of the land which provides reporting framework which councils follow as provided by the Constitution, National Decentralization Policy, Public Finance Management Act, Local Government Act, Public Procurement and Disposal of Assets Act, Corrupt Practices Act, Treasury Instructions and or any other Circulars that Government issues from time to time. Statute requires that the NLGFC supervises the accounts of the councils and also facilitate their audit.

The NLGFC is tasked to execute this core function to supervise accounts and facilitate audits of the councils. This role is at the centre of the accounting and financial management roles in the councils which ensures that the councils use same standards in reporting their business transactions. This enhances the councils to report and apply same standards across their business processes which enhances transparency and enables public scrutiny. In light of this, NLGFC requires the councils to disseminate information to the public through publishing signed accounts on their notice boards on periodic basis in order to promote citizen engagement to improve the transparency and accountability in the disposition of all resources.

3.2 Strategic outcome

Effective, efficient and accountable use of fiscal resources in Local Governments.

3.3 Key Strategies

3.3.1 Enhance adherence to financial regulations.
3.3.2 Enhance transparency and accountability in financial management.
3.3.3 Strengthen accounting and reporting systems.

3.4 Strategies, activities and targets

Key Strategy 3.3.1: Enhance adherence to financial regulations		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Facilitate updating and/or developing a Compendium of simplified Guidelines for resource management	Operating Guidelines reviewed continuously which include among others:-Accounting manual, CDF, DDF, IFMIS	500,000 USD Annually
Design tailor made capacity building initiatives on accounting and financial management for local governments	Trainer of Trainers, Hand-holding	198,000 USD Annually
Engage stakeholders in reviewing financial guidelines	Stakeholders consulted in review of financial guidelines	15,000 USD Annually
Engage the NLGFC (Board) to approve financial guidelines	Guidelines reviewed and approved	30,000 USD Annually
Review the financial guidelines by NLGFC (Board)	Financial guidelines reviewed and approved	30,000 USD Annually
Receive and consolidate Council Internal Audit reports quarterly	Assessment of issues in the reports Assess audit risk to advise NLGFC (Board)	30,000 USD Annually 50,000 USD Annually
Review any audit issues to assess risk and determine remedy by NLGFC Board (Committee) to avoid re-occurrence	Approval sought from the Committee	50,000 USD Annually

Key Strategy 3.3.2: Enhance transparency and accountability in financial management		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Support councils in preparing for statutory audits	Council accounts reviewed including management of documentation	350,000 USD Annually
Support councils to dispose audit issues with PAC and other Auditors	Audit issues resolved	150,000 USD Annually

Key Strategy 3.3.3: Strengthen accounting and reporting systems		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Receive, review and validate monthly financial reports for Local Governments	Monthly financial reports reviewed and validated	350,000 USD Annually

Key Strategy 3.3.3: Strengthen accounting and reporting systems		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Review of the consolidated quarterly financial reports by the NLGFC (Board)	Reports approved by NLGFC Board (Committee)	30,000 USD Annually
Supervise and hand-hold councils in the preparation process of accounts	Annual Financial Statements (35) produced within two months after the end of the Financial Year.	500,000 USD Annually
Support operation of the IFMIS governance structure	Reduction in system interruptions in the Local Governments	500,000 USD Annually

KRA 4: LOCAL GOVERNMENT DEVELOPMENT SUPPORT AND MANAGEMENT

4.1 Rationale

[5]. The NLGFC is tasked to mobilise financial resources for implementation of local development projects aimed at improving livelihoods and revenue generation for Councils. It also ensures effective monitoring and accountability of results from the implemented interventions.

4.2 Strategic outcome

Improved livelihoods and socio-economic development in local governments.

4.3 Key Strategies

4.3.1 Enhance Infrastructure and Socio-economic Development
4.3.2 Strengthen supervision and monitoring of Local Governments
4.3.3 Support performance improvement in councils
4.3.4 Enhance sustainability of local development investments
4.3.5 Support the strengthening of the social protection delivery systems

4.4 Strategies, activities and targets

Key Strategy 4.3.1: Enhance Infrastructure and Socio-economic Development		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Support implementation of cash transfers	Number of beneficiaries on social cash transfers Amount of cash transferred to beneficiary households	Staff time. Project support from SSRLP. 21 million USD (Annually)
Support implementation of the Enhanced Public Works programme	Number of PWP beneficiary household targeted Amount of PWP wage earnings	114 million USD (Annually)[6]

[5] The Social Support for Resilient Livelihood Project – SSRLP (started 2020) -Improving social and economic inclusion (including social cash transfers; Public Works (at present only piloting), Social Cash Transfers Scalable safety nets (emergency response), strengthening harmonized delivery systems

[6] The Social Cash Transfers are targeting 11 councils, at an average of MK10, 000 per beneficiary household. The public Works Public is countrywide (all 35 Councils). For PWP, the programme runs every month for a period of 12 days per month. Transfer levels are estimated at MK1, 200 per beneficiary household. Based on the poverty file, an estimated number of beneficiary households is 490,000 (based in 15% of ultra-poor households with labour (IHS4).

Key Strategy 4.3.1: Enhance Infrastructure and Socio-economic Development		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
	Hectarage covered (forestry projects) or distance covered (road network projects); Value of community assets created	
Support implementation of shock sensitive interventions through the scalable mechanism of social cash transfers	Number of beneficiaries targeted under the scalable mechanism Amount of cash transferred to beneficiary households	8 million USD
Support mobilisation initiatives for capacity building, skills transfer and linkages for income generation	Number of beneficiaries accessing capacity building and skills transfer interventions Amount of cumulative financial savings realized by the groups Value of assets accumulated by the groups	8 million USD
Support implementation of high-quality infrastructure development projects	Number of infrastructure development projects supported	KFW and Government support to Urban window PBG system development (100,000 USD) GESD PBG grants (14 million USD (Annually) Community social infrastructure (5% of net national revenue) Annually 2019/2020 (5.0 million USD)

Key Strategy 4.3.2: Strengthen Supervision and Monitoring of development projects		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Provide technical backstopping towards implementation of LG socio-economic subprojects	Technical supervision reports produced Technical Audit report of socio-economic infrastructure	Government and donor funded 10% of project costs Consultancy 120,000 USD every two years
Monitoring and Evaluation of local development projects.	Quarterly and annual reporting reflected in the NLGFC reports.	Staff time. Project support from GESD, SSRLP and KFW.

Key Strategy 4.3.3: Support performance improvement in councils		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Review Performance Assessment instruments/tools	LA assessment tools updated An upgraded web-based tools functioning	12, 500 USD Annually
Conduct LA performance assessment	LA performance assessment conducted LA assessment results disseminated to relevant stakeholders Thematic areas of poor performance and number of least performing LAs identified Performance Improvement Plans or Capacity Development Plans developed LA performance assessment tools reviewed	495, 000 USD Annually 75, 000 USD Annually 10, 000 USD Annually 16, 000 USD Annually
Support the implementation of both thematic PIPs and PIPs for least performing LAs	Number of thematic PIPs implemented Number of PIPs for least performing councils implemented	1, 800, 000 USD Annually
Provide performance improvement Grants to LAs	Amount of grants on Performance improvement provided to LAs	840, 000 USD Depending on availability of funds

Key Strategy 4.3.3: Support performance improvement in councils		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Facilitate twinning arrangements between Malawi NLGFC and other Fiscal Decentralisation programmes	A signed MOU in place Number of exchange visits conducted	50, 000 USD Annually
Facilitate inter-district exchange visits	Number of inter-district exchange visits conducted	30, 000 USD Annually
Support LASCOM and MLGRD in the recruitment of key LA staff	Number of LA staff recruited	70, 000 USD Annually

Key Strategy 4.3.4: Enhance sustainability of local development investments		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Support development and Implementation of exit or transition strategies for all development programs and projects	Number of exit/transition strategies implemented	1% of project costs
Support development and implementation of environmental and social safeguards instruments in local development projects and programs	Number of projects funded through NLGFC having environmental and social safeguards instruments being implemented	1% of project costs
Promote citizen engagement and social accountability in project planning and implementation	Number of NLGFC funded projects with GRM system and stakeholder engagement plans (SEP) and number of projects implementing SEPs	1 % of project costs

Key Strategy 4.3.5: Support the strengthening of social protection delivery systems		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Support automation of social protection delivery systems	Number of districts on e-payment An automated Grievance Redress Mechanism in place	300,000 USD Annually
Support harmonization of processes and systems across interventions	Number of programmes using harmonized delivery systems	100,000 USD Annually
Support social accountability mechanisms	Number of cases reported Proportion of cases resolved through GRM systems	500,000 USD Annually

Key Strategy 4.3.5: Support the strengthening of social protection delivery systems		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Support UBR institutionalization	UBR Management Unit integrated within the Ministry of EP&D&PSR UBR processes conducted within Local Governments	500,000 USD Annually

KRA 5: STRATEGIC LEADERSHIP AND MANAGEMENT

5.1 Rationale

Strategic leadership and management is integral to strengthening the internal capacities and systems of the NLGFC in order to effectively and efficiently implement the Strategic Plan.

This includes strengthening the legal basis of the organization and internal management processes.

5.2 Strategic outcome

Improved NLGFC capacity and governance structures.

5.3 Key Strategies

5.3.1 Strengthen NLGFC regulatory framework.
5.3.2 Enhance NLGFC image and visibility.
5.3.3 Strengthen NLGFC capacity and performance.

5.4 Strategies, activities and targets

Key Strategy 5.3.1: Strengthen NLGFC regulatory framework		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Review and lobby for enactment of NLGFC Act.	NLGFC Act in place	Staff; stakeholder consultations (meeting and workshops) 40,000 USD
Support functionality of NLGFC governance structure	NLGFC board operational	Staff time; Board meetings 50,000 USD (Annually)

Key Strategy 5.3.2: Strengthen NLGFC image and visibility		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Undertake branding to improve the image of NLGFC among external stakeholders and internal NLGFC staff	Branding materials produced (year 2) Knowledge of NLGFC staff of key features of strategic plan.	Consultancy facilitation, workshops. Posters, T-shirts and various branding materials. 100,000 USD

Key Strategy 5.3.2: Strengthen NLGFC image and visibility		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Develop and maintain NLGFC website.	Functional NLGFC website in place to include inter alia updated information on FDS, actual LG budget transfers (website manager in place). Website established year 1-	Equipment, software. 80,000 USD
Develop communication strategy	Strategy completed. Year 1 Communication materials (posters, leaflets etc. produced) Survey among external users (LGAs and central ministries) indicate increased satisfaction with NLGFC performance on agreed KPIs.	Meetings and workshops 60,000 USD (annually)
Construction of NLGFC offices	NLGFC offices constructed (Concept note developed in year 1; Construction work ready for occupation by year 4).	1.3million USD

Key Strategy 5.3.3: Strengthen NLGFC capacity and performance		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Conduct functional review to refine and update NLGFC structure and organogram in view of agreed strategic plan	Review completed by March 2022 Key staff employed/assigned for all KRAs.	Staff time. Support from DHRMD. Workshop. USD 50,000
Review and update all job descriptions and conditions of service	Completed by April June 2022	Staff time. Meetings 50,000 USD Support from DHRMD
Develop and implement comprehensive capacity building plan for NLGFC staff	• Capacity building plan completed in year 1 • Capacity Building plan implemented over 4 years with annual reviews	Staff time. US$1.6million
Develop, review and Implement financial, operational and Internal Audit manuals.	Finance, Operational and Internal Audit manuals developed by March 2022.	Staff time. Consultancy 10,000 USD.

Key Strategy 5.3.3: Strengthen NLGFC capacity and performance		
Activities	**Key Performance Indictors / Targets**	**Inputs and tentative budget (USD)**
Develop and implement Procurement Plan	Procurement Plan developed and implemented, including undertaking procurement reviews	Annually US$100,000
Develop and implement staff performance management system; review staff performance management system	Performance management systems developed by November 2022 Annual staff performance reviews and reports.	Staff time. Support from DHRMD, Consultancy: 25,000 USD
Develop and implement HR and Administration policies	HR and administration policies developed and operational (Asset management policy; Fleet management policy; Code of Ethics; Training policy; HIV&AIDs policy).	50,000 USD
Establish Knowledge Management platform (intranet, document archiving and content management systems) for NLGFC and LAs.	A functional Knowledge Management platform in place by December 2022	Staff time. Consultancy and ICT equipment upgrade: 20,000 USD
Strategic management meetings	Strategic management meetings undertaken	60,000 USD
NLGFC institutional performance assessments undertaken	Quarterly and annual performance reviews undertaken	80,000 USD (Annual)
Mainstream crosscutting issues in NLGFC programmes.	Workplace HIV and Gender policies and guidelines developed by year 2.	Staff time. Workshop and facilitators 10,000 USD.
Develop mechanisms for responding and adapting to unforeseen emerging issues such as COVID-19	Mechanism for responding to unforeseen emerging issues in place	Staff time Equipment and supplies (US$10,000) 80,000 USD Video Conference Equipment (USD50,000) Total US$140,000

CHAPTER FIVE: INSTITUTIONAL ARRANGEMENTS, MONITORING AND EVALUATION

5.1 NLGFC Institutional Development

Effective implementation of the NLGFC Strategic Plan requires adequate internal organization, internal capacity building and adequate fiscal resources. This section explores:

1. Overview of current organizational structure of NLGFC.
2. Analysis of the new NLGFC Strategic Plan 2022-2027 and required implementation capacities.
3. Summary recommendations for institutional strengthening of NLGFC.

Further discussions of fiscal resource requirements are presented in the final chapter six of this plan.

5.1.1 Summary overview of current organizational structure of NLGFC

The current organogram for NLGFC (with overview of filled and vacant positions) is enclosed as annex 1 and follows the recommendations of the DHRMD for initial restructuring of NLGFC.

The current structure can be summarized as follows:

- The NLGFC is on a day to day basis led by Executive Director (ED) who reports to the NLGFC Board;
- Four departments each headed by a Director report to the ED,
    - Department of Financial Management: A relatively large department with three divisions: (i) Financial Management and Accounting, (ii) Financial Regulations and Compliance and (iii) Budget Division. Staff is largely drawn from the old NLGFC.
    - Department of Capacity Development – currently, this is a very small department entrusted with the responsibility to facilitate and coordinate local authority institutional and community capacity development programmes.
    - Department of Infrastructure and Economic Development – a large department that to date effectively manages the on-going local development projects inherited from LDF.
    - Department of Corporate Services responsible for the internal management of NLGFC. It includes (i) ICT Division, (ii) Accounts Division, (iii) HRM Division and (iv) Administrative Division.

- In addition, a Procurement Unit, Knowledge Management and Communications Unit[7] and a Planning Unit reports to the ED, while the Internal Audit Unit reports to the Board.

5.1.2 NLGFC Strategic Plan 2022-2027 and required implementation capacities

As part of the strategic planning exercise, an assessment was made of the readiness of the NLGFC to undertake effective implementation of all the five agreed Key Result Areas and corresponding strategies. The table below summarizes key results of the analysis organized in the following manner:

For each of the five KRAs and corresponding key strategies identification of:

- **Existing NLGFC capacities** in broad terms, the extent to which the proposed strategies already are been implemented by the NLGFC with indication of the most important departments or divisions and corresponding core professional staff,
- **Capacity Gaps** in relation to each of the KRA in terms of either organizational structure, skills or funding.
- **Proposals for how to fill the capacity gaps**: NLGFC organization, staffing, funding or TA.

Subsequently, in section 5.1.3 a summary is made of proposal for strengthening NLGFC institutionally through (i) proposals for NLGFC organization and further functional review for analysis and conclusion by the Department of HRM and Development (Office of the President and Cabinet) and (ii) proposals for modalities for technical assistance. Finally, Chapter 6 presents a summary assessment of funding gaps.

[7] This was originally envisaged to be a Directorate as portrayed in the organizational structure in the Annex.

5.1.3 Summary of Proposals for institutional strengthening of the NLGFC

Table 1: NLGFC capacities, gaps and Related capacity Enhancement by Key Result Areas

Key Result Area	**Key Strategies**	**NLGFC Existing Capacities** (organizational structure, HR/management, skills, funds (OSR/donor)	**Gaps** (organizational structure, HR/management, skills, funds (OSR/donor)	**How to fill gap/Enhance capacity** **Staff + funding + Technical Assistance + Twinning etc**
1. LG Fiscal Resource mobilization and Allocations	1.1. Improve inter-governmental fiscal transfer system 1.2. Support improvement of local revenue mobilization	New task where staff are not yet assigned – At present some limited related work is done by Budget division: 3 Budget Analysts.	Limited internal NLGFC prior experiences and skills within this area – if the work has been done in the past it was mainly undertaken by consultants and funded by DP projects.	Organizational structure be reviewed to emphasize these strategies and staff assigned (from existing structure or by adding staff). Possibly adding a dedicated department or at least division. Technical assistance – mainly recurrent short-term inputs of TA with emphasis on skills transfers to NLGFC staff and MDAs engaged in FDS management. Twinning with other countries – in particular IGFT programme.
2. Local Government Budgeting	2.1 Strengthen budgeting processes in Local governments 2.2 Enhance transparency, citizen engagement and accountability in budget formulation and implementation. 2.3 Strengthen budget implementation monitoring and reporting	Currently undertaken by budget Division with 3 Budget Analysts,	IFMIS skill gaps, Lack of ICT system for grant allocations	Consider allocation of 1 additional Budget Analysts TA for development of digitalized system for grant allocations, Training in systems development

Key Result Area	Key Strategies	NLGFC Existing Capacities (organizational structure, HR/management, skills, funds (OSR/donor)	Gaps (organizational structure, HR/management, skills, funds (OSR/donor)	How to fill gap/Enhance capacity **Staff + funding + Technical Assistance + Twinning etc**
3. Local Government Accounting and Financial Management	3.1 Enhance adherence to financial regulations. 3.2 Enhance transparency and accountability in financial management 3.3 Strengthen accounting and reporting systems.	Department of Financial management, particularly Financial Regulations and Compliance with 7 Financial Analysts; and Financial Management divisions. Coordination for capacity building initiatives assigned to Capacity Development Department with 3 staff. Specifically responsible for planning, designing and monitoring of CB.	Vacant positions in Department of Capacity Development, Development of new concepts for approach to LGA capacity building (based on annual LAPA) and use of demand driven CB funded by PIG yet to be done.	Constitute a National Resource Team of MDAs for LA mentoring and hands on support. Stock-take of existing and planned DP support for LG capacity building.
4. Local Government Development Support and Management	4.1 Enhance Infrastructure and Socio-economic Development 4.2 Strengthen supervision and monitoring of local development projects 4.3 Support performance improvement in councils 4.4 Enhance sustainability of local development investments 4.5 Support the strengthening of the social protection delivery systems	Department of Infrastructure and Economic Development 5 key positions are filled Significant staff experiences with implementation of local development projects (MASAF, KFW projects.	Limited expertise with program design of service delivery projects through IGFTS.	TA. Regional Study Tours / Twinning.
5. Strategic Leadership and Management	5.1 Strengthen NLGFC regulatory framework. 5.2 Enhance NLGFC image and visibility. 5.3 Strengthen NLGFC Capacity and performance.	ED, Department of Corporate Services, Internal Audit, Procurement Unit, Planning Unit, Department of Knowledge Management and Communications. Operational Website	Poor communication of image and results of the NLGFC, Lack of clarity with respect to organization of internal versus external services (Finance, Internal Audit etc).	Planning Unit needs additional staffing in M&E to meet the work load of 3 big projects namely SSRLP, GESD & MIERA. Develop and implement communication strategy, Additional staff expertise in communications department. TA in support of NLGFC Act

Key Result Area	Key Strategies	NLGFC Existing Capacities (organizational structure, HR/management, skills, funds (OSR/donor)	Gaps (organizational structure, HR/management, skills, funds (OSR/donor)	How to fill gap/Enhance capacity **Staff + funding + Technical Assistance + Twinning etc**
			The established posts for the Planning Unit are not commensurate with the work load of the Unit for the big institution like NLGFC with a number of big projects.	Support from OPC Department of Human Resource Management and Development for organizational Review and staff development.

5.1.4 Key recommendations for institutional strengthening of NLGFC

The table above presented several capacity gaps and related proposals for capacity enhancement. Recommendations relates to both organizational and staff issues as well as proposals for technical assistance. The modalities for both are discussed further below.

NLGFC organizational and staff issues

The Department of HRM and Development (Office of the President and Cabinet) advised the NLGFC on its organizational structure and staffing levels after the merger of the LDF and NLGFC. DHRMD and NLGFC has now initiated an additional functional review to be guided by the new Strategic Plan 2022-2027. The following key observations on the NLGFC organizational structure emerged as part of the formulation of the current plan which may serve as an input to ongoing DHRMD-NLGFC functional review.

While some strengthening of capacities is required across the NLGFC for effective implementation of the Strategic Plan, the two KRAs stand out as in need of special attention for NLGFC re-organization and staffing decisions:

- KRA 1: LG Fiscal Resource Mobilization and Allocations
    - The strategies for this KRA require assignment of dedicated staff resources (3-5 senior staff/economist) with expertise on policy issues related to local service delivery and LG grant design.
    - This may be organized as a new Department focused on LG fiscal policy issues (or alternatively a specific division of another department).
- KRA 3: LG Accounting and Financial Management
    - The new and more comprehensive approach to LGA capacity building will require a dedicated small team for spearheading planning, design and monitoring of capacity building activities while actual delivery of capacity building interventions can best be undertaken by a cross-ministerial team with the specific required expertise of e.g. procurement, internal auditing, contract management etc. Core LGA PFM expertise of LGA accounting, financial reporting, will have to be provided by NLGFC staff directly, but important expertise of this kind is already found within NLGFC. The capacity building department can be structured to focus its responsibilities on the planning, design and monitoring of capacity building activities.

Medium term technical assistance provided on a continuous basis through twining with other Fiscal Decentralization Reform programmes -

It is proposed that a twinning relationship be established that matches key elements of the NLGFC Strategic Plan including the foreseen Fiscal Decentralisation Strategy to support NLGFC (and other MDAs as per FDS) work on : i) intergovernmental fiscal relations, including the design of grant systems and fiscal arrangements; ii) LA performance improvement, including all aspects of

planning and budgeting, procurement, expenditure control, accounts and audit systems, and civic engagement across each of these functions; iii) intergovernmental accountability systems – service outcomes, financial reporting and audit compliance; iv) performance assessment systems, and v) donor harmonization and alignment with mainstream government systems.

It is proposed that the twinning arrangement provide for two kinds of support:

First, peer to peer learning exchanges of LA and central government officials responsible for the above functions. This may entail periodic visits targeting particular policy or practical issues.

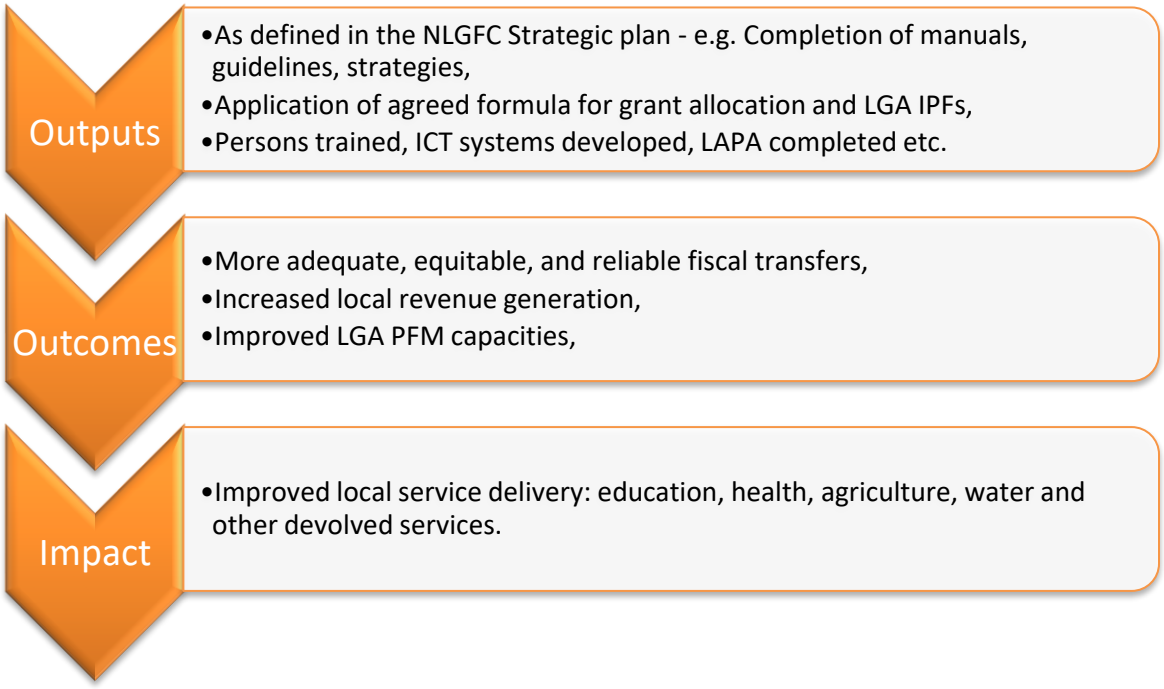
Second, the provision of 'just in time' flexible technical assistance. This may draw on the existing pool of international and national expertise provided by Overseas Development Institute (ODI) to other fiscal decentralization reform programmes in Africa, augmented by Malawian expertise as opportunities arise.

5.2 Monitoring and Evaluation

5.2.1 Three Main Types of M&E

The NLGFC will report on the achievement of NLGFC outputs on a quarterly and annual basis. The report will be submitted by the Secretariat to the Board prior to publishing (latest 45 days after the end of the quarter). The report on outputs will be structured in accordance to the five KRAs.

In addition to output reporting, the NLGFC will monitor wider results (outcomes and to some extent impact) through instruments such as LAPA and reporting on wider aspects of fiscal decentralization with inclusion of key LGA finance statistics.



5.2.2 M&E of LGA Capacities/LAPA

The Government of Malawi has developed an updated and strengthened system for assessments of LGA capacities which is being applied countrywide on an annual basis.

The assessment system (LAPA)[8] will on an annual basis provide information of LGA capabilities regarding basic fiscal safeguards (minimum access conditions and triggers for PBG grant releases) as well as a scoring of the quality of LGA capacities such as:

A. Development Planning and Budgeting,
B. Human Resource Management.
C. Procurement Management.

[8] For details see Ministry of Local Government and Rural Development (2021): Local Authority Performance Assessment (LAPA) Manual.

D. Contract management and Project Implementation.
E. Improving citizens access to Information,
F. Mobilisation of locally generated revenue.
G. Budget Execution.
H. Financial Management/ Accounting.
I. Physical Progress Reporting and M&E.
J. Conducting Internal Audits.
K. Addressing issues identified from external Audits
L. Various sector specific performance indicators

NLGFC will analyze results in consultation with relevant stakeholders. The annual results of the LAPA will be included in NLGFC annual report: to guide development of performance improvement support as well as to reflect on the effectiveness of past years support.

5.2.3 Fiscal Decentralization Strategy M&E

The NLGFC aims, as part of this Strategic Plan, to develop and implement a Fiscal Decentralization Strategy (FDS). The FDS will, among other issues, elaborate on modalities for M&E of the fiscal decentralization reforms. While it is premature to outline the details of such M&E system, then the NLGFC will under all circumstances on an annual basis provide a compendium of basic annual LG finance statistics. The precise form and content are yet to be established but foreseen to include:

- Complete review of all revenues of LGAs
    - Budget and actual allocation of all grants per LGAs
    - All local revenues generated by LGAs
- Analysis of expenditure patterns:
    - Personnel, ORT and development expenditures by sector
    - Key service delivery outputs: number of various infrastructures developed (rural roads, classrooms, water facilities, health centers upgrading etc.), number of frontline service delivery staff deployed (teachers, health staff, agriculture extension staff etc.)
    - Key fiscal sector service benchmarks – possibly such as expenditures by pupils, bed nights in health facilities, out-patients in health clinics,
- Analysis of progress on reform objectives (such as adequacy, equity and reliability of fiscal transfers).
- Various thematic analysis as deemed relevant – e.g. reflection on service delivery outcome studies / sector reviews etc.

CHAPTER SIX: BUDGET AND RESOURCE REQUIREMENTS

Implementation of the Plan will be undertaken using three types of fiscal resources elaborated below: (i) Existing Government of Malawi budget Allocations (MTEF), (ii) Existing DP support and (iii) Additional required resources to be mobilized.

6.1 Government of Malawi Budget Ceilings

The Government of Malawi has (as per March 2021) provided indicative MTEF ceilings for the first three fiscal years of the Strategic Plan as summarized below.

As evidenced by the table below, the ORT budget is mainly constituted by Drugs to be supplied to DHOs (approximately 91% of total ORT), but GoM has also prioritized support for LGA PFM support in addition to generic ORT.

Table: MTEF Ceilings for NLGFC (vote 121). MWK FY 2021/22 – 2023/24

Description	**2021/22 Estimate**	**2022/23 Projection**	**2023/24 Projection**
PE	664,196,942	723,974,666	781,892,640
ORT	13,138,215,440	18,364,459,103	19,253,639,5444
Of which			
Generic ORT	235,762,512	*330,067,517*	*346,570,893*
Printing of Budget	*21,705,469*	*30,387,656*	*31,907,039*
Property Rates	*435,637,703*	*580,850,270*	*580,850,270*
Drugs for DHOs	*12,000,000,000*	*16,800,000,000*	*17,640,000,000*
Payment of Utilities	*21,183,000*	*29,656,200*	*31,139,010*
Other Mandatory Payments	*129,026,756*	*180,637,459*	*189,669,332*
Improve PFM capacity of Local Councils on	*32,400,000*	*45,360,000*	*47,628,000*
Development budget (Part 1)	35,605,174,276	39,529,232,703	38,873,922,747
Total Vote 121 - NLGFC	**53,407,586,658**	**58,617,666,472**	**58,909,454,931**

The Government of Malawi has allocated approximately MK331 million annually as generic ORT (approximately 431,000 USD) and MK42 million (approximately 52,000 USD) annually specifically for the improvement of LA PFM capacities. In addition, the GoM has, as part of the MTEF, allocated MK4,000,000,000 million as development part 1 for the 2 projects Social Support for Resilient Livelihood Project and Governance to Enable Service Delivery Project.

6.2 Existing DP support

KRA 4: Local Development Support and Management is funded through 3 projects namely Social Support for Resilient Livelihoods Project (SSRLP) which comprises Enhanced Public Works, Social Cash Transfers, scalable safety nets and Livelihood Support; Governance to Enable Service Delivery (GESD) Project and More Income and Employment in Rural Areas (MIERA) Project. The SSRLP (which started towards the end of 2020) aims at improving social and economic inclusion (including social cash transfers, Enhanced Public Works (at present only piloting), Livelihood Support, Scalable safety nets (emergency response), and strengthening harmonized delivery systems. The budget for this project is 125 million USD over the period 2020-25. The GESD project budgeted for 100 million USD over the period 2020-25 aims at strengthening local governments institutional performance, responsiveness to citizens and management of resources for service delivery.

6.3 Required additional Budget

BUDGET SUMMARY (USD)					
KRA/STRATEGY	**2022/23**	**2023/24**	**2024/25**	**2025/26**	**2026/27**
KRA 1: Local Government Fiscal Resource Mobilization and Allocations					
Key Strategy 1.1: Improve inter-governmental fiscal transfer system					
Develop a Fiscal Decentralization Strategy (FDS)		430,000.00			
Develop modalities for coordination, review and reporting of FDS			50,000.00		
Review the Inter-governmental Fiscal Transfer Formulae (IGFTF)		250,000.00			
Digitize the Inter-Governmental Fiscal Transfer Formulae			50,000.00		
Harmonize donor funding for local service delivery with IGFTS			70,000.00		
Facilitate engagement with local governments to promote Capital investments		50,000.00			
Key Strategy 1.2: Improve local revenue mobilization					
Develop Policy Discussion Paper on how to improve Revenue Assignments to Local Governments			175,000.00		
Review Local Revenue Enhancement Guidelines		50,000.00			
Sub-Total for KRA 1	50,000.00	780,000.00	775,000.00	-	-
KRA 2: Local Government Budgeting					

Key Strategy 2.2.1: Strengthen budgeting processes in local governments					
Review budgeting manual for councils		70,000.00			
Disseminate budgeting Manual to councils		40,000.00			
Provide support to local governments on budgeting		125,000.00			
Key Strategy 2.2.2 Enhance transparency, citizen engagement and accountability in budget formulation and implementation.					
Compile Council budgets and funding data for uploading to website		50,000.00			
Publish the grants released to local governments on print and electronic media	20,000.00	20,000.00	20,000.00	20,000.00	20,000.00
Publish the grants released to the LGAs through among others the media		40,000.00			
Support councils with procurement planning and Implementation	100,000.00	100,000.00	100,000.00	100,000.00	100,000.00
Key Strategy 2.2.3: Strengthen monitoring and reporting					
Develop and disseminate formats for compilation of LA budget implementation progress reports	50,000.00				
Review Participatory budgeting guidelines	70,000				
Support councils in preparation of budget implementation progress reports		80,000.00			
Develop and disseminate formats for compilation of LA budget implementation progress reports	50,000.00				
Sub-Total for KRA 2	**290,000.00**	**525,000.00**	**120,000.00**	**120,000.00**	**120,000.00**
KRA 3: Local Government Accounting and Financial Management					

Key Strategy 3.3.1: Enhance adherence to financial regulations					
Facilitate updating and/or developing a Compendium of simplified Guidelines for resource management	500,000	500,000	500,000	500,000	500,000
Design tailor made capacity building initiatives on accounting and financial management for local governments	198,000	198,000	198,000	198,000	198,000
Engage stakeholders in reviewing financial guidelines	15,000	15,000	15,000	15,000	15,000
Engage the NLGFC (Board) to approve financial guidelines	30,000	30,000	30,000	30,000	30,000
Review the financial guidelines by NLGFC (Board)	30,000	30,000	30,000	30,000	30,000
Receive and consolidate Council Internal Audit reports quarterly	80,000	30,000	30,000	30,000	30,000
Review any audit issues to assess risk and determine remedy by NLGFC Board (Committee) to avoid re-occurrence	50,000	50,000	50,000	50,000	50,000
Key Strategy 3.3.2: Enhance transparency and accountability in financial management					
Receive, review and validate monthly financial reports for local governments	350,000	350,000	350,000	350,000	350,000
Engage the NLGFC (Board) to review consolidated quarterly financial reports	30,000	30,000	30,000	30,000	30,000
Supervise and hand-hold councils in the preparation process of accounts	500,000	500,000	500,000	500,000	500,000
Support operation of the IFMIS governance structure	500,000	500,000	500,000	500,000	500,000
Key Strategy 3.3.3: Strengthen accounting and reporting systems					

Receive and consolidate council Internal Audit Reports quarterly	100,000	100,000	100,000	100,000	100,000
Support councils in preparing for statutory audits	350,000	350,000	350,000	350,000	350,000
Support councils to dispose audit issues with PAC and other Auditors	150,000	150,000	150,000	150,000	150,000
Review of the Consolidated quarterly financial reports by NLGFC Board	50,000	50,000	50,000	50,000	50,000
Sub-Total for KRA 3	**2,883,000.00**	**2,883,000.00**	**2,883,000.00**	**2,883,000.00**	**2,883,000.00**
KRA 4: Local Government Development Support and Management					
Key Strategy 4.2.1: Enhance Infrastructure and Socio-economic Development					
Support implementation of social cash transfers	21,000,000.00	21,000,000.00	21,000,000.00	21,000,000.00	21,000,000.00
Support implementation of the Enhanced Public Works programme	114,000,000.00	114,000,000.00	114,000,000.00	114,000,000.00	114,000,000.00
Support mobilisation initiatives for capacity building, skills transfer and linkages for income generation	8,000,000.00	8,000,000.00	8,000,000.00	8,000,000.00	8,000,000.00
Support implementation of shock-sensitive interventions through scalable mechanisms of social cash transfers	19,100,000.00	19,000,000.00	19,000,000.00	19,000,000.00	19,000,000.00
Support implementation of high- quality infrastructure development projects	5,000,000.00	5,000,000.00	5,000,000.00	5,000,000.00	5,000,000.00
Key Strategy 4.2.2 Strengthen Supervision and Monitoring of development projects					

Provide technical backstopping towards implementation of LG socio-economic subprojects		120,000.00		120,000.00	
Monitoring and Evaluation of local development projects.	50,000.00	150,000.00	50,000.00	150,000.00	50,000.00
Key Strategy 4.2.3: Support performance improvement in Councils					
Conduct LA performance assessment	200,000	200,000	200,000	200,000	195,000
Support the implementation of both Thematic PIPs and PIPs for least performing LAs	360,000	360,000	360,000	360,000	360,000
Provide performance improvement Grants to LAs	TBD	TBD	TBD	TBD	TBD
Facilitate twinning arrangements between Malawi NLGFC and other Fiscal Decentralisation programmes	50, 000	50, 000	50, 000	50, 000	50, 000
Facilitate inter-district exchange visits	30, 000	30, 000	30, 000	30, 000	30, 000
Support LASCOM and MoLG in the recruitment of key LA staff	70, 000	70, 000	70, 000	70, 000	70, 000
Key Strategy 4.2.4: Enhance sustainability of local development investments					
Support development and Implementation of exit or transition strategies for all development programs and projects	1 % of project costs	1 % of project costs	1 % of project costs	1 % of project costs	1 % of project costs
Support development and implementation of environmental and social safeguards instruments in local development projects and programs	1 % of project costs	1 % of project costs	1 % of project costs	1 % of project costs	1 % of project costs
Promote citizen engagement and social accountability in project planning and implementation	1 % of project costs	1 % of project costs	1 % of project costs	1 % of project costs	1 % of project costs
Key Strategy 4.2.5: Support the strengthening of the social protection delivery systems					

Support automation of social protection delivery systems	300,000				
Support harmonization of process and systems across interventions		100,000			
Support social accountability mechanisms	100,000	100,000	100,000	100,000	100,000
Support UBR institutionalization	100,000	100,000	100,000	100,000	100,000
Sub-total for KRA 4	**166,301,500.00**	**166,101,500.00**	**165,501,500.00**	**165,501,500.00**	**165,501,500.00**
KRA 5: Strategic Leadership and Management					
Key Strategy 5.2.1: Strengthen NLGFC regulatory framework					
Review and lobby for enactment of NLGFC Act.	40,000.00				
Support functionality of NLGFC governance structure	50,000.00				
Key Strategy 5.2.2: Strengthen NLGFC image and visibility					
Undertake branding to improve the image of NLGFC among external stakeholders and internal NLGFC staff		100,000.00			
Develop and maintain NLGFC website		80,000.00			
Develop communication strategy	60,000.00				
Construction of NLGFC offices		650,000.00	650,000.00		
Key Strategy 5.2.3: Strengthen NLGFC capacity and performance					
Conduct functional review to refine and update NLGFC structure and organogram in view of agreed strategic plan	50,000.00				
Review and update all job descriptions and conditions of service	50,000.00				
Develop and implement comprehensive capacity building plan for NLGFC staff	-	350,000.00	350,000.00	350,000.00	350,000.00
Develop, review and Implement financial, operational and Internal Audit manuals.	10,000.00				

Develop and implement Procurement Plan	100,000	100,000	100,000	100,000	100,000
Develop and implement staff performance management system; review staff performance management system	25,000.00				
Develop and implement HR and Administration policies	50,000.00				
Establish Knowledge Management platform (intranet, document archiving and content management systems) for NLGFC and LAs.	20,000.00				
Strategic management meetings	60,000.00	60,000.00	60,000.00	60,000.00	60,000.00
NLGFC institutional performance assessments undertaken	80,000.00				
Mainstream crosscutting issues in NLGFC programmes	10,000.00				
Develop mechanisms for responding and adapting to unforeseen emerging issues such as COVID-19	140,000.00				
Subtotal for KRA 5	**745,000.00**	**1,340,000.00**	**1,160,000.00**	**510,000.00**	**510,000.00**
GRANT TOTAL	**170,219,500.00**	**171,230,500.00**	**169,257,500.00**	**169,593,500.00**	**169,014,500.00**
	YEAR 1	**YEAR 2**	**YEAR 3**	**YEAR 4**	**YEAR 5**
Note: These estimates may be reviewed at mid-term					

BIBLIOGRAPHY

1. Decentralisation Policy (1998).
2. Government of Malawi Detailed Estimates Vote 121: NLGFC and Vote 272: Local Development Fund.
3. Local Government Act (1998).
4. Malawi Constitution (1994).
5. Malawi Vision 2063.
6. Malawi 2063 first 10-year Implementation Plan.
7. National Local Government Finance Committee: Strategic Plan 2012-2016.
8. Sustainable Development Goals (2015).

ANNEXES

ANNEX 1: MONITORING AND EVALUATION FRAMEWORK

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
Strategic Outcome 1: Adequate mobilization and equitable allocation of fiscal resources to local governments.								
Percentage annual growth in councils' budget allocation (excluding PE)	DDF	-18	5	5	5	5	5	NLGFC Annual Reports
	IDF	-25	3	3	3	3	3	NLGFC Annual Reports
	CDF	0	2	2	2	2	2	NLGFC Annual Reports
	Borehole Fund	0	2	2	2	2	2	NLGFC Annual Reports
	Sector Funds	-6	4	4	4	4	4	NLGFC Annual Reports
	GRF	-17	5	5	5	5	5	NLGFC Annual Reports
	PBG	n/a	50	33	25	n/a	n/a	NLGFC Annual Reports
Percentage annual growth in councils' local revenue		-11	5	5	5	5	5	LA Annual Consolidated Financial Reports
Output 1.1: Inter-Governmental Fiscal Transfer System strengthened.								
Development of Fiscal Decentralization Strategy (FDS)		No strategy exists	FDS developed	FDS approved	FDS operationalized		FDS operationalized	NLGFC Periodic Reports
Review of Intergovernmental Fiscal Transfer Formulae (IGFTF)		IGFTF not up-to-date	IGFTF reviewed	IGFTF approved	IGFTF implemented	IGFTF implemented	IGFTF implemented	NLGFC Periodic Reports

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
Output 1.2: Local revenue mobilization enhanced.								
Development of a policy discussion paper on how to improve Revenue assignments in Local Governments		No policy discussion paper exists	Discussion Paper developed and adopted	Implementation of the recommendations of the discussion paper	Implementation of the recommendations of the discussion paper	Implementation of the recommendations of the discussion paper	Implementation of the recommendations of the discussion paper	NLGFC Periodic Reports
Local Revenue Enhancement Guidelines reviewed to appropriately guide councils in revenue generation		Guidelines are out-of-date	Guidelines reviewed and adopted	35 councils oriented on the revised Guidelines	Implementation of the Guidelines	Implementation of the revised Guidelines	Implementation of the revised Guidelines	NLGFC Periodic Reports
Number of councils with updated Revenue Enhancement Strategic Plans		20	28	35			35	LAPA Reports
Strategic Outcome 2: Responsive and technically sound local government budgeting for service delivery.								
Number of councils preparing budgets in line with guidelines		35	35	35	35	35	35	NLGFC Annual Reports
Number of councils that complete at least 80% of the capital investment projects in their Annual Investment Plans by the end of the first quarter of the ensuing financial year.		-	10	15	20	25	35	LAPA Reports
Percentage of the citizens who are satisfied with preparation and implementation of Annual Investment Plans		31					50	Citizen Satisfaction Survey Reports
Output 2.1: Budgeting processes in Local governments strengthened.								

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
Review of budgeting Manual for councils		Manual is outdated	Manual reviewed and adopted	35 councils oriented on the revised manual	Implementation of the revised manual rolled out to 35 councils	Implementation of the revised manual rolled out to 35 councils	Implementation of the revised manual rolled out to 35 councils	NLGFC Periodic Reports
Number of Councils' Budgets reviewed and consolidated		35	35	35	35	35	35	NLGFC Annual Reports
Output 2.2: Transparency, citizen engagement and accountability in budget formulation and implementation enhanced.								
Review of participatory budgeting guidelines		Guidelines are out-of-date	Guidelines reviewed and adopted	35 councils oriented on the revised guidelines	Guidelines rolled out to 35 councils	Implementation of the revised Guidelines	Implementation of the revised Guidelines	NLGFC Periodic Reports
Demystification of council budgets for communities		No citizen budget template	Template for Citizens Budget developed and adopted	35 councils oriented on the citizen budget template	Implementation of Citizen Budget rolled out to 35 councils	Implementation of Citizen Budget rolled out to 35 councils	Implementation of Citizen Budget rolled out to 35 councils	NLGFC Periodic Reports
Publishing of the grants released to local governments		Grants released to local governments are not published consistently	Grants released to local governments are published consistently (every quarter) on print and electronic media as	Grants released to local governments are published consistently (every quarter) on print and electronic media as	Grants released to local governments are published consistently (every quarter) on print and electronic media as	Grants released to local governments are published consistently (every quarter) on print and electronic media as	Grants released to local governments are published consistently (every quarter) on print and electronic media as	NLGFC Periodic Reports

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
			well as NLGFC website	well as NLGFC website	well as NLGFC website	well as NLGFC website	well as NLGFC website	
Output 2.3: Budget implementation monitoring and reporting strengthened.								
Development of format for compilation of council budget implementation progress reports		No harmonized reporting format	Harmonized reporting format developed and adopted	35 councils oriented on the harmonized reporting format	Utilization of the harmonized reporting format rolled out to 35 councils	Utilization of the harmonized reporting format rolled out to 35 councils	Utilization of the harmonized reporting format rolled out to 35 councils	NLGFC Periodic Reports
Number of councils producing budget implementation progress reports		35	35	35	35	35	35	NLGFC Periodic Reports
Number of councils producing budget implementation progress reports in line with the prescribed format		-	35	35	35	35	35	NLGFC Periodic Reports
Strategic Outcome 3: Effective, efficient and accountable use of fiscal resources in local governments.								
Number of councils with unqualified audit reports		4	6	8	10	12	14	NAO External Audit Reports
Output 3.1: Adherence to financial regulations enhanced.								
Review of financial management guidelines		Guidelines are out-of-date	Guidelines reviewed and adopted	35 councils oriented on the revised guidelines	Implementation of the revised guidelines in 35 councils	implementation of the revised guidelines in 35 councils	implementation of the revised guidelines in 35 councils	NLGFC Periodic Reports

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
Number of councils producing at least four internal audit reports each year		16	35	35	35	35	35	LAPA Reports
Number of councils whose finance and audit committee discusses internal audit issues and instructs council management or audit management committee to act.		13	35	35	35	35	35	LAPA Reports
Output 3.2: Transparency and accountability in financial management enhanced.								
Number of councils subjected to external audit by 31st June each year		-	35	35	35	35	35	NAO External Reports
Number of councils whose finance and audit committee discusses external audit issues and instructs council management or audit management committee to act.		15	35	35	35	35	35	LAPA Reports
Output 3.3: Accounting and financial reporting systems strengthened.								
Number of councils utilizing IFMIS for processing financial transactions		35	35	35	35	35	35	LA Annual Consolidated Financial Reports
Number of councils producing financial statements by 31st May each year		35	35	35	35	35	35	LA Annual Consolidated Financial Reports

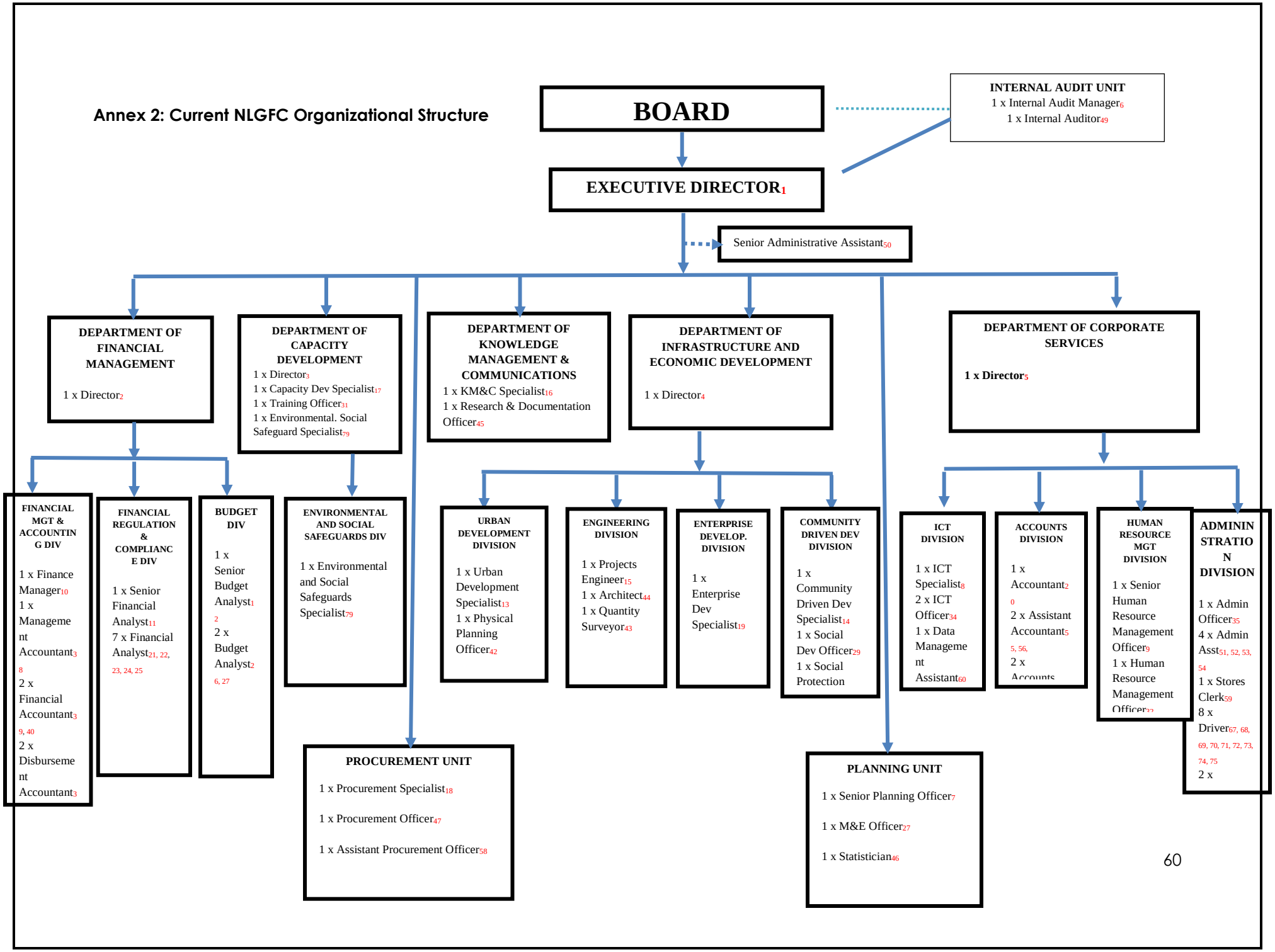
Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
Number of councils producing financial statements in line with prescribed standards and legal framework		-	35	35	35	35	35	LA Annual Consolidated Financial Reports
Strategic Outcome 4: Improved livelihoods and socio-economic development in local governments.								
Percentage of households having at least 3 meals per day	EPWP	35.3					48	Survey Reports
	SCTP	45.3					48	Survey Reports
	LSD	41.3					48	Survey Reports
Number of eligible project beneficiary households with ongoing income generating investments one year after receipt of the livelihood support package		0					229,500	Survey Reports
Number of people getting temporary employment as a result of infrastructural development projects		2,500	3,000	4,000	5,800	6,920	8,000	NLGFC Annual Reports
Percentage of households reporting satisfaction or direct benefits from the community assets created through climate smart public works		86.90					88.10	Survey Reports
Output 4.1: Infrastructure and socio-economic development enhanced.								
Number of development projects implemented	DDF	-					No set target	NLGFC Annual Reports

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
	IDF	-					No set target	NLGFC Annual Reports
	CDF	-					No set target	NLGFC Annual Reports
	Borehole Fund	-					No set target	NLGFC Annual Reports
	PBG	0					No set target	NLGFC Annual Reports
	MIERA	5	3				8	NLGFC Annual Reports
	EPWP	0					No set target	NLGFC Annual Reports
Number of ultra-poor and labour constrained households supported under the Social Cash Transfer Programme		123,682					147,000	NLGFC Periodic Reports
Number of households covered by SCTP scalability mechanism		0					300,000	NLGFC Periodic Reports
Number of ultra-poor (with labour capacity) households supported under the Climate Smart Public Works Programme		0					435,000	NLGFC Periodic Reports
Number of livelihoods groups and cooperatives formed with approved business plan and		114					4,780	NLGFC Periodic Reports

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
accessing livelihood for investment								
Number of beneficiary households participating in functional Saving and Loans Groups (SLGs)		32,562					470,000	NLGFC Periodic Reports
Output 4.2: Performance improvement in councils strengthened.								
Local Authorities that are eligible for the Performance Based Grant		25	25	26	27	28	28	LAPA Reports
Annual local authority performance assessment conducted on time with quality assurance and results published and used to determine district allocation of the Performance-Based Grant		Yes	Yes	Yes	Yes	Yes	Yes	LAPA Reports
Local Authorities that increase their performance assessment score by at least 5 points		25	15	20	15	15	15	LAPA Reports
Output 4.3: Sustainability of local development investments enhanced.								
Number of projects funded through NLGFC having environmental and social safeguards instruments being implemented		3					6	NLGFC Periodic Reports
Number of NLGFC funded projects with GRM system and		2					4	NLGFC Periodic Reports

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
Stakeholder Engagement Plans (SEPs)								
Output 4.4: Social protection delivery systems strengthened.								
UBR data coverage increased to 100 percent households in 11 districts that are at 50 percent coverage as of 2018		50 percent coverage in 7 districts and 100 percent coverage in 4 districts	100 percent coverage in 7 districts				100 percent coverage in 11 districts	NLGFC Periodic Reports
Number of districts on e-payment		1	4	11			11	NLGFC Periodic Reports
Number of programmes using harmonized delivery systems		-					3	NLGFC Periodic Reports
Percentage of reported cases resolved through the GRM system		30					70	NLGFC Periodic Reports
Strategic Outcome 5: Improved NLGFC capacity and governance structures.								
Number of councils summoned and disciplined for mismanagement of public resources		0					No set target	NLGFC Periodic Reports
Number of council officials surcharged for mismanagement of public resources		0					No set target	NLGFC Periodic Reports

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
Unqualified audits for the NLGFC	ORT	Yes	Yes	Yes	Yes	Yes	Yes	NLGFC External Audit Reports
	SSRLP	Yes	Yes	Yes	Yes	Yes	Yes	NLGFC External Audit Reports
	GESD	Yes	Yes	Yes	Yes	Yes	Yes	NLGFC External Audit Reports
	MIERA	Yes	Yes	Yes	Yes	Yes	Yes	NLGFC External Audit Reports
Output 5.1: NLGFC regulatory framework strengthened.								
Mandate and roles of the NLGFC clearly defined		No NLGFC Act	NLGFC Draft Bill reviewed and adopted	NLGFC Draft Bill tabled in Parliament and passed into law	Enforcement of implementation of the NLGFC Act	Enforcement of implementation of the NLGFC Act	Enforcement of implementation of the NLGFC Act	NLGFC Periodic Reports
Output 5.2: NLGFC image and visibility strengthened.								
Development of Communication Strategy		No strategy exists	Strategy developed and adopted	Implementation of Strategy	Implementation of Strategy	Implementation of Strategy	Implementation of Strategy	NLGFC Periodic Reports
Development of an anti-corruption strategy		No strategy exists	Strategy developed and adopted	Implementation of the Strategy	Implementation of the Strategy	Implementation of the Strategy	Implementation of the Strategy	NLGFC Periodic Reports
Output 5.3: NLGFC capacity and performance strengthened.								

Performance Indicators	Disaggregated by (optional)	Baseline 2021/2022	Milestone 2022/2023	Milestone 2023/2024	Milestone 2024/2025	Milestone 2025/2026	Target 2026/2027	Source of Data
Functions of the merged institution (new NLGFC) clearly defined and institutionalized		NLGFC operates on a transitional structure which is not in line with the constitutional mandate	Comprehensive Functional Review of the NLGFC undertaken and the Functional Review Report adopted	Recommendations of the Functional Review Report implemented			Recommendations of the Functional Review Report implemented	NLGFC Periodic Reports
Number of Internal Audit Reports for the NLGFC produced		-	4	4	4	4	4	NLGFC Periodic Reports
Percentage of the Internal Audit issues for the NLGFC acted upon by Management		-	100	100	100	100	100	NLGFC Periodic Reports
Number of projects' internal controls reviews reports produced		-	4	4	4	4	4	NLGFC Periodic Reports
NLGFC produces financial statements for all types of funds by 31st May each year in line with the prescribed standards		Yes	Yes	Yes	Yes	Yes	Yes	NLGFC Periodic Reports

Annex 2: Current NLGFC Organizational Structure